exceeds the 4–6 per cent range for three consecutive quarters, the MPC will have to offer an explanation in Parliament.

The common man has been feeling the inflationary pinch for a while now. Petrol cost Rs 120.51 in Mumbai and Rs 105.41 in Delhi, while diesel cost Rs 104.77 in Mumbai and Rs 96.67 in the capital on May 9. Cooking gas cost nearly Rs 1,000 a cylinder in Mumbai and Delhi. Higher fuel prices have had a cascading impact across the supply chain, making production and transportation of goods dearer. Industry, meanwhile, is battling costlier inputs, with steel, aluminium, copper and nickel prices rising 10–15 per cent.

Most experts anticipate the next hike as early as June 6–8 when the MPC meets again. The RBI has been widely criticised for not using the most potent weapon at its disposal to combat inflation, especially as the war in Ukraine extended. Crude prices shot up sharply following Russia's invasion in February—Brent crude was trading at $110 a barrel on May 9. India's crude import has gone up to 212.2 million tonnes in 2021-22 from 196.5 MT the previous year.

The rate hike is also perhaps to fortify the rupee, which has been taking a beating recently. On May 9, it stood at 77.5 to a dollar, its lowest ever. "The RBI has already spent $10–15 billion trying to defend the rupee in the forex market. The reserves have gone down to $600 billion or even lower, so that could be another consideration for the RBI to hike rates," says Sabnavis.

But the hike will also make loans costlier, heralding doom for the real estate sector, among others. "Unfortunately for home buyers, this hike signals an imminent end to the all-time low interest regime," says Anuj Puri, chairman of the Anarock Group, a real estate consultant. Experts also expect the rate hike to slow growth. "We believe our current growth forecast of 7.4-7.5 per cent is likely to go down by further 25 basis points on account of the higher borrowing cost," said a note from BoB. Meanwhile, Crisil has said it expects RBI to hike the repo rate by another 75–100 bps this fiscal. The ordeal is far from over. ■ **– M.G. Arun**

found themselves paying more for food and fuel. In India, inflation breached the upper limit of 6 per cent set by the RBI for three months in a row since January.

Then there's the cautionary tale the experience of Indian start-ups such as Nykaa, Paytm, PolicyBazaar or Zomato is turning out to be. Riding the bourse bounceback after the Covid battering of the past year, they had hoped to make a killing. Only to find themselves trading well below their highs since their listing, with Paytm seeing its share price decline more than 70 per cent from the issue price. The subsequent Omicron wave and then the Russia-Ukraine war sent the stock market into a lull. Until the fresh burst of activity now.

Although the government-owned LIC's Rs 21,000 crore IPO was postponed from March to May and its fundraising expectation scaled down from the initial Rs 65,000 crore, the insurance behemoth decided it was time to take the plunge. The IPO, India's biggest share sale so far and ahead of Paytm's Rs 18,300 crore IPO in November, was subscribed nearly three times on the final day of bidding on May 9. The 35 per cent reserved for retail investors sold 1.99 times. With the reduced size of the IPO, LIC is valued at Rs 6 lakh crore compared to the Rs 12 lakh crore valuation projected earlier.

There will be no steadying the stock market ship as long as the unrest in Eastern Europe continues to roil the economic seas and the impact of the rate hike by central banks unfolds in the coming weeks. In a surprise move on May 4, the same day LIC launched its IPO, the RBI raised the repo rate by 40 basis points or bps (see *The Repo Rise Surprise*). The bourses did not take the RBI's announcement well. The BSE Sensex tanked 1,307 points on May 4, and another 866 points on May 6. However, on May 10, the Sensex gained 309 points during intra-day trade to touch 54,779. "No one can predict the market," says Madan Sabnavis, chief economist with the Bank of Baroda. "It is the inherent strength of the company that will ultimately get reflected in the (share) price." It will pay to tread cautiously. ■

"SUDDENLY, THE RBI FELT INFLATION WAS A GREATER THREAT THAN IT EARLIER THOUGHT"

–MADAN SABNAVIS
Chief Economist, BoB

FIGHTING INFLATION

THE MOVES

- On May 4, RBI raised repo rates by 40 basis points (bps) to 4.4%
- Cash reserve ratio requirement hiked by 50 bps to 4.5%
- US Fed raises interest rates by 50 bps, the highest in 20 years

THE IMPACT

- BSE Sensex falls 1,307 points on May 4 and another 866 points by May 6
- On May 5, the Dow Jones Industrial Average of the US loses 1,063 points or 3.12 per cent, its worst single-day drop since 2020

FREE FALL

How the rupee weakened against the dollar

MAY 10, 2021	73.7
MAY 9, 2022	77.4